

Jentech

Reiterate Buy: promising sales/margin growth trajectory; lift PO to NT\$6,800

Reiterate Rating: BUY | PO: 6,800 TWD | Price: 5,645 TWD

Lift PO to NT\$6,800; Buy: high/intact sales/margin growth

We lift Jentech's 2026-28E EPS by 15-39% to reflect a more solid sales/ASP growth, driven by new platform launches and an even better margin expansion pace. Our 2026-28 EPS forecasts are 13-42% above consensus (Exhibit 2). We expect to see sales/EPS upward revision from the Street after Aug sales release. We raise our PO to NT\$6,800 (30x 2H27-1H28E EPS) from NT\$4,000 (25x 2H27-1H28E EPS), with a higher P/E multiple and an unchanged valuation base. We now use 30x for more solid sales/EPS growth (86%/104% sales/EPS CAGR in 2026-28) with higher margins. The 30x multiple is also similar to what we set for component sub-sector leaders like Delta & King Slide. We reiterate Buy on Jentech as the top semi packaging-level cooling component maker.

3Q26E sales +37% QoQ on faster Rubin volume ramp-up

We expect 3Q26 sales to grow 37% QoQ (+97% YoY) due to faster Rubin GPU heat spreader ramp-up, which should more than offset the normalizing ASP. Based on our supply chain checks, ASP for Rubin GPU heat spreader should normalize from Aug while the volume should more than double QoQ. The strong July sales (+21% MoM, +91% YoY) served as the first evidence of faster/larger volume ramp-up. We expect to see MoM sales growth in Aug and sustainable monthly sales into 4Q26. We also believe the new product ramp up and rising scale should drive further GM/OPM expansion, after seeing the solid margin expansion in 2Q26 (GM/OPM 2.5ppt/1.8ppt above BofAe; Exhibit 3).

2027 strong sales/margin set-up for next-gen products

We expect the initial ramp-up for Rubin Ultra heat spreader from 2Q27 (previously expected in 3Q27), with 3-4x ASP growth vs. Rubin for design change to removable lid (our view unchanged). We expect 2027E sales +98% YoY, with margin expansion. We are not concerned about potential competition from peers, given more complex/advanced design and strict quality requirement for packaging-level cooling components. Jentech should also be selective in cooling projects (eg, cold plate), based on our checks.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	3,428	5,277	10,409	23,305	43,235
EPS	24.15	36.75	70.93	158.82	294.64
EPS Change (YoY)	45.5%	52.2%	93.0%	123.9%	85.5%
Dividend / Share	14.50	22.00	35.47	71.47	103.12
Free Cash Flow / Share	16.05	25.08	36.97	79.40	177.32
Valuation (Dec)					
P/E	233.75x	153.61x	79.58x	35.54x	19.16x
Dividend Yield	0.257%	0.390%	0.628%	1.27%	1.83%
EV / EBITDA*	188.83x	116.15x	60.07x	27.32x	14.91x
Free Cash Flow Yield*	0.275%	0.435%	0.655%	1.41%	3.14%

* For full definitions of *IQmethod*SM measures, see page 10.

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Refer to important disclosures on page 11 to 13. Analyst Certification on page 8. Price Objective Basis/Risk on page 8.

13012174

28 August 2026

Equity

Key Changes

(NT\$)	Previous	Current
Price Obj.	4,000.00	6,800.00
2026E EPS	61.62	70.93
2027E EPS	119.96	158.82
2028E EPS	212.59	294.64
2026E EBITDA (m)	12,298.3	13,817.2
2027E EBITDA (m)	23,186.6	30,380.4
2028E EBITDA (m)	40,346.5	55,668.4

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Stock Data

Price	5,645 TWD
Price Objective	6,800 TWD
Date Established	27-Aug-2026
Investment Opinion	C-1-7
52-Week Range	1,845 TWD-5,980 TWD
Mrkt Val / Shares Out (mn)	26,020 USD / 146.7
Market Value (mn)	828,307 TWD
Average Daily Value (mn)	306.39 USD
Free Float	49.9%
BofA Ticker / Exchange	XVFSF / TAI
Bloomberg / Reuters	3653 TT / 3653.TW
ROE (2026E)	39.3%
Net Dbt to Eqty (Dec-2025A)	-39.6%

Acronyms, see Exhibit 13

iQprofileSM Jentech

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	14,278	20,276	33,322	66,115	115,547
Gross Profit	5,365	8,434	15,549	32,846	59,081
Sell General & Admin Expense	(969)	(1,196)	(1,657)	(2,101)	(2,654)
Operating Profit	3,799	6,498	12,911	29,408	54,637
Net Interest & Other Income	447	109	254	173	172
Associates	NA	NA	NA	NA	NA
Pretax Income	4,245	6,607	13,165	29,580	54,809
Tax (expense) / Benefit	(830)	(1,297)	(2,719)	(6,240)	(11,539)
Net Income (Adjusted)	3,428	5,277	10,409	23,305	43,235
Average Fully Diluted Shares Outstanding	142	144	147	147	147

Key Cash Flow Statement Data

Net Income	3,428	5,277	10,409	23,305	43,235
Depreciation & Amortization	597	648	906	973	1,032
Change in Working Capital	(1,489)	(1,655)	(4,391)	(11,126)	(16,747)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	355	503	0	0	0
Cash Flow from Operations	2,891	4,774	6,924	13,151	27,520
Capital Expenditure	(613)	(1,173)	(1,500)	(1,500)	(1,500)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(1,950)	159	0	0	0
Cash Flow from Investing	(2,563)	(1,014)	(1,500)	(1,500)	(1,500)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(1,436)	(2,072)	(3,159)	(5,204)	(10,487)
Cash Flow from Financing	(2,215)	3,077	(3,159)	(5,204)	(10,487)
Free Cash Flow	2,278	3,601	5,424	11,651	26,020
Net Debt	(2,267)	(9,134)	(11,399)	(17,846)	(33,378)
Change in Net Debt	1,204	(6,867)	(2,265)	(6,447)	(15,533)

Key Balance Sheet Data

Property, Plant & Equipment	4,852	8,073	8,667	9,195	9,663
Other Non-Current Assets	4,115	1,329	1,329	1,329	1,329
Trade Receivables	4,061	5,414	8,897	17,653	30,851
Cash & Equivalents	2,267	9,134	11,399	17,846	33,378
Other Current Assets	3,167	4,019	5,848	10,628	17,783
Total Assets	18,462	27,969	36,141	56,650	93,004
Long-Term Debt	0	0	0	0	0
Other Non-Current Liabilities	384	451	451	451	451
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	3,420	4,453	5,375	7,784	11,391
Total Liabilities	3,804	4,904	5,826	8,235	11,841
Total Equity	14,658	23,065	30,315	48,415	81,163
Total Equity & Liabilities	18,462	27,969	36,141	56,650	93,004

iQmethodSM - Bus Performance*

Return On Capital Employed	22.0%	27.5%	38.1%	58.5%	66.3%
Return On Equity	26.4%	28.3%	39.3%	59.6%	67.0%
Operating Margin	26.6%	32.0%	38.7%	44.5%	47.3%
EBITDA Margin	30.8%	35.2%	41.5%	46.0%	48.2%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	0.8x	0.9x	0.7x	0.6x	0.6x
Asset Replacement Ratio	1.0x	1.8x	1.7x	1.5x	1.5x
Tax Rate (Reported)	19.6%	19.6%	20.7%	21.1%	21.1%
Net Debt-to-Equity Ratio	-15.5%	-39.6%	-37.6%	-36.9%	-41.1%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 10.

Company Sector

IT Hardware

Company Description

Jentech is the globally leading semi-packaging level cooling component (heat spreader, lid, stiffener) manufacturer from Taiwan for PC and server. It also offers lead frame for auto and other component/connector for consumer electronic devices.

Jentech was founded on 28 March 1987 and was publicly listed on the Taiwan Stock Exchange on 18 Nov 2009. Its manufacturing facilities are located in Taiwan and China and its headquarter is located in Taoyuan, Taiwan.

Investment Rationale

We assign a Buy rating to Jentech given its leading position in semi-packaging level cooling component to ride on strong AI market demand and still evolving cooling design. We also believe Jentech will be the enabler and first/key maker for the most-advanced microchannel lid (MCL) liquid cooling design, driving its concrete sales/EPS CAGR in 2026-28.

Stock Data

Price to Book Value

27.5x



Lift PO to NT\$6,800; reiterate Buy

We reiterate Buy on Jentech as the top semi packaging-level cooling component maker.

We lift Jentech's 2026-28E EPS by 15-39% (Exhibit 1) to reflect a more solid sales/ASP growth, driven by new platform launches and an even better margin expansion pace. Our 2026-28 EPS forecasts are 13-42% above consensus (Exhibit 2). We expect to see sales/earnings upward revision from the Street after August sales release.

We lift PO to NT\$6,800 (30x 2H27-1H28E EPS) from NT\$4,000 (25x 2H27-1H28E EPS), with a higher P/E multiple and an unchanged valuation base. We now use 30x for more solid sales/EPS growth (86%/104% sales/EPS CAGR in 2026-28) with higher margins. The 30x multiple is also similar to what we set for component sub-sector leaders like 31x for Delta Electronics (2308 TT; covered by Robert Cheng; see [Delta 30 July report](#)) and 32x for King Slide (2059 TT; covered by Doris Kao; see [King Slide 7 Aug report](#)).

30x is the same as SOX (PHLX Semiconductor Sector Index) key stocks' next-twelve-month PE average of 30x, which we believe can be fundamentally justified by Jentech's 104% EPS CAGR in 2026-28 (under +97%/+124% YoY in 2026/27) vs. SOX stocks' next-twelve-month EPS growth average of 106% YoY. See US semi team's [24 Aug report](#).

Exhibit 1: We lift 2026-28E EPS by 15-39%

Earnings revision summary, 2026-28

NT\$m	BofA 2026E			BofA 2027E			BofA 2028E		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Sales	33,322	29,960	11%	66,115	49,975	32%	115,547	81,505	42%
Gross profit	15,549	13,564	15%	32,846	24,488	34%	59,081	41,732	42%
Operating profit	12,911	11,251	15%	29,408	22,081	33%	54,637	39,190	39%
Pretax profit	13,165	11,433	15%	29,580	22,210	33%	54,809	39,319	39%
Net income	10,409	8,927	17%	23,305	17,379	34%	43,235	30,797	40%
EPS (NT\$)	70.93	61.62	15%	158.82	119.96	32%	294.64	212.59	39%
Margin %									
Gross margin	46.7%	45.3%		49.7%	49.0%		51.1%	51.2%	
Operating margin	38.7%	37.6%		44.5%	44.2%		47.3%	48.1%	
Pre-tax margin	39.5%	38.2%		44.7%	44.4%		47.4%	48.2%	
Net margin	31.2%	29.8%		35.2%	34.8%		37.4%	37.8%	

Source: BofA Global Research estimates

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Exhibit 2: Our 2026-28E EPS is 13-42% above consensus

BofAe vs. consensus, 2026-28

NT\$m	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Sales	33,322	31,009	7%	66,115	55,903	18%	115,547	83,646	38%
Gross profit	15,549	14,315	9%	32,846	28,115	17%	59,081	42,588	39%
Operating profit	12,911	11,594	11%	29,408	24,520	20%	54,637	38,259	43%
Pretax profit	13,165	11,808	11%	29,580	24,678	20%	54,809	38,290	43%
Net income	10,409	9,380	11%	23,305	19,581	19%	43,235	30,474	42%
EPS (NT\$)	70.93	62.80	13%	158.82	128.91	23%	294.64	207.63	42%
Margin %									
Gross margin	46.7%	46.2%		49.7%	50.3%		51.1%	50.9%	
Operating margin	38.7%	37.4%		44.5%	43.9%		47.3%	45.7%	
Pre-tax margin	39.5%	38.1%		44.7%	44.1%		47.4%	45.8%	
Net margin	31.2%	30.2%		35.2%	35.0%		37.4%	36.4%	

Source: BofA Global Research estimates, Bloomberg consensus

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3Q26E sales +37% QoQ on faster Rubin volume ramp-up

We expect 3Q26 sales to grow 37% QoQ (+97% YoY) due to faster Rubin GPU heat spreader ramp-up, which should more than offset the normalizing ASP. Based on our supply chain checks, ASP for Rubin GPU heat spreader should normalize from Aug while the volume is likely to more than double QoQ. The strong July sales (+21% MoM, +91% YoY) served as the first evidence of faster/larger volume ramp-up. We expect to see MoM sales growth in Aug (from the July high base) and sustainable monthly sales into 4Q26. We project 4Q26 sales to grow another 8% QoQ (+104% YoY) after a high base in 2Q-3Q26. We also believe the new product ramp up and rising scale should drive further GM/OPM expansion, after seeing the solid margin expansion in 2Q26 (GM/OPM 2.5ppt/1.8ppt above BofAe and 2.5ppt/2.5ppt above consensus; Exhibit 3).

2Q26 results re-cap: earnings beat with better margins

Jentech's 2Q26 sales (+37% QoQ, +40% YoY) came in line with BofAe and 5% above consensus. GM/OPM was 46.8%/37.8%, above BofAe of 44.3%/36.0% and consensus of 44.3%/35.3%. We attribute the strong margins mainly to improving mix amid ongoing heat spreader shipment momentum (primarily for Blackwell Ultra GPU) and initial heat spreader ramp-up for Rubin generation with better ASP. Thus, OP (+62% QoQ, +62% YoY) was 5%/13% above BofAe/consensus. With non-operating gain of NT\$92mn (including net interest income of NT\$37mn and FX loss of NT\$17mn), NP (+66% QoQ, +107% YoY) was 11%/18% above BofAe/consensus.

Exhibit 3: 2Q26 net income was 11%/18% above BofAe/consensus

2Q26 results summary

NT\$mnn	2Q26	QoQ %	YoY %	BofAe	Diff (%)	Consensus	Diff (%)	1Q26	2Q25
Sales	7,275	37%	40%	7,275	0%	6,912	5%	5,305	5,181
Gross profit	3,405	54%	58%	3,221	6%	3,064	11%	2,217	2,149
Operating profit	2,749	62%	62%	2,617	5%	2,443	13%	1,697	1,699
Pretax profit	2,841	60%	114%	2,653	7%	2,440	16%	1,776	1,327
Net income	2,318	66%	107%	2,086	11%	1,967	18%	1,398	1,121
EPS (NT\$)	15.80	66%	102%	14.40	10%	13.47	17%	9.53	7.81
Margin %									
Gross margin	46.8%	5.0 ppt	5.3 ppt	44.3%	2.5 ppt	44.3%	2.5 ppt	41.8%	41.5%
Operating margin	37.8%	5.8 ppt	5.0 ppt	36.0%	1.8 ppt	35.3%	2.5 ppt	32.0%	32.8%
Pre-tax margin	39.1%	5.6 ppt	13.4 ppt	36.5%	2.6 ppt	35.3%	3.8 ppt	33.5%	25.6%
Net margin	31.9%	5.5 ppt	10.2 ppt	28.7%	3.2 ppt	28.5%	3.4 ppt	26.4%	21.6%

Source: BofA Global Research estimates, Bloomberg consensus

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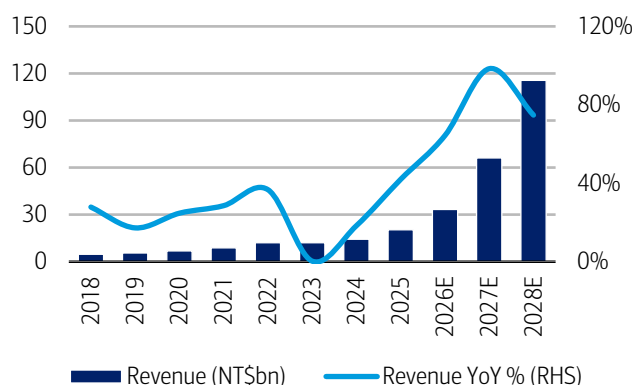
2027 strong sales/margin set-up for next-gen products

We expect initial ramp-up for Rubin Ultra heat spreader from 2Q27 (vs. our previous expectation of starting from 3Q27), with 3-4x ASP growth vs. Rubin generation for design change to removable lid (our view unchanged). Thus, we see 98% YoY growth in 2027 sales with margin expansion. We are not concerned about competition from peers, given more complex/advanced design and strict quality requirement for the semi-packaging-level cooling components. Jentech should also be selective in cooling projects (e.g. cold plates), based on our checks.



Exhibit 4: We model 2025-27 revenue CAGR at 86%

Jentech's revenue and YoY trend, 2018-28E

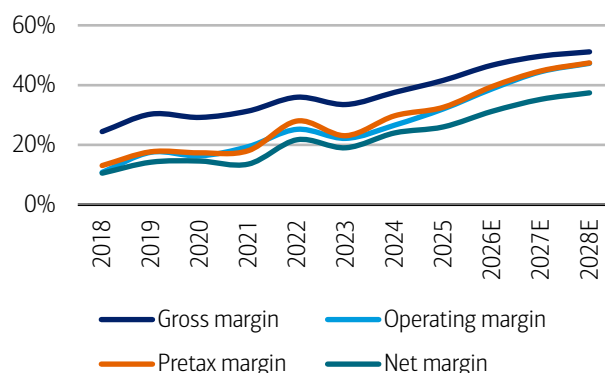


Source: BofA Global Research estimates, TEJ, company data

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Exhibit 5: We expect Jentech to see GM/OPM/pretax/net margin expansion in 2025-28

Jentech's improving margin trend, 2007-28E

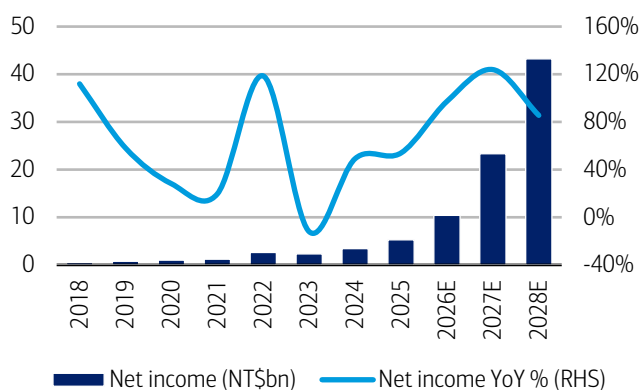


Source: BofA Global Research estimates, TEJ, company data

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Exhibit 6: We model 2025-27 net income CAGR at 104%

Jentech's net income and YoY trend, 2018-28E

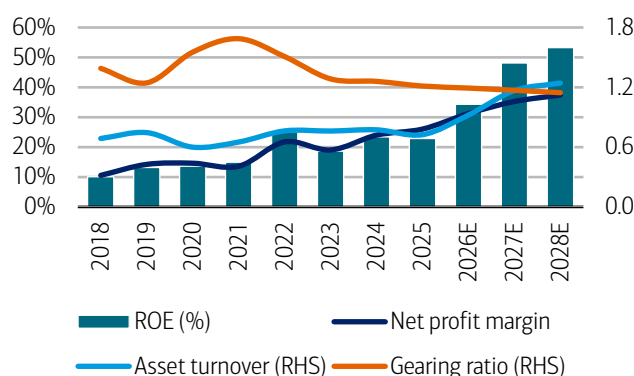


Source: BofA Global Research estimates, TEJ, company data

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Exhibit 7: We see Jentech's ROE at 34-53% in 2026-28 with expanding net profit margin

Jentech's DuPont analysis, 2007-28E



Source: BofA Global Research estimates, TEJ, company data. ROE refers to average ROE

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Exhibit 8: Jentech trades at 36x 2027E P/E, vs. Taiwan hardware sub-sector leaders' average of 26x, Greater China peers' average of 25x, and overall peers' average of 24x

Valuation comparison: Jentech vs. Taiwan hardware sub-sector leaders, Greater China cooling peers, and global cooling peers

Ticker	Company	Share price (LC)	Market cap (US\$m)	P/E (x)			P/B (x)			EPS growth			ROE (%)			EV/EBITDA (x)			Net cash (debt) to market cap		
				26E	27E	28E	26E	27E	28E	26E	27E	28E	26E	27E	28E	26E	27E	28E	26E	27E	28E
3653 TT	Jentech	5,645.00	26,131	79.6	35.5	19.2	27.5	17.2	10.2	93%	124%	86%	39.3	59.6	67.0	55.4	25.2	13.7	1%	2%	4%
Taiwan hardware sub-sector leaders																					
2059 TT	King Slide	14,340.00	43,112	42.3	30.8	27.7	24.6	16.3	12.3	229%	37%	11%	77.4	63.7	50.8	33.2	23.8	21.3	3%	5%	6%
2308 TT	Delta	1,770.00	145,045	43.5	29.0	20.5	11.5	9.1	7.1	76%	50%	41%	29.1	34.9	38.7	27.9	18.6	13.2	2%	3%	3%
2345 TT	Accton *	2,090.00	36,997	25.1	18.0	12.9	12.3	8.1	5.6	77%	39%	40%	60.6	53.8	51.6	18.3	12.9	9.0	6%	8%	11%
Average				37.0	26.0	20.3	16.1	11.2	8.3	127%	42%	31%	55.7	50.8	47.0	26.5	18.4	14.5	4%	5%	7%
Greater China cooling peers																					
3017 TT	AVC	3,340.00	41,362	31.8	23.2	18.7	16.6	10.6	7.4	113%	37%	24%	66.5	55.9	46.8	19.9	14.4	11.4	4%	6%	9%
3324 TT	Auras	1,060.00	3,113	18.3	13.8	11.4	6.4	4.7	3.6	105%	32%	21%	40.6	39.1	35.7	13.0	10.0	8.2	-2%	-1%	2%
8996 TT	Kaori *	1,310.00	3,859	62.3	33.3	18.6	22.2	14.2	8.7	132%	87%	80%	37.8	47.3	57.8	47.5	25.2	11.8	-1%	-2%	-2%
2486 TT	I-Chiun *	259.00	1,912	79.6	26.8	n.a	10.4	7.7	n.a	1380%	197%	n.a	14.3	32.9	n.a	30.6	19.2	n.a	-8%	-7%	n.a
2351 TT	SDI *	240.00	1,467	36.0	27.0	21.8	5.5	4.9	4.6	302%	33%	24%	16.3	20.0	22.4	20.3	15.9	13.4	-4%	-4%	-4%
Average				45.6	24.8	17.6	12.2	8.4	6.1	406%	77%	37%	35.1	39.1	40.7	26.2	16.9	11.2	-2%	-2%	1%
Global cooling peers																					

Exhibit 8: Jentech trades at 36x 2027E P/E, vs. Taiwan hardware sub-sector leaders' average of 26x, Greater China peers' average of 25x, and overall peers' average of 24x

Valuation comparison: Jentech vs. Taiwan hardware sub-sector leaders, Greater China cooling peers, and global cooling peers

		Share price	Market cap	P/E (x)			P/B (x)			EPS growth			ROE (%)			EV/EBITDA (x)			Net cash (debt) to market cap		
5803 JP	Fujikura	5,500.00	61,271	57.9	26.2	23.3	16.3	10.0	7.9	72%	121%	12%	32.5	47.4	37.8	44.5	19.5	17.2	1%	3%	3%
HON US	Honeywell	220.67	69,939	26.7	20.2	18.5	4.8	4.5	4.2	28%	32%	9%	16.8	23.0	23.5	19.1	17.7	16.4	-12%	-10%	-8%
VRT US	Vertiv	263.81	101,564	39.0	31.5	26.4	16.3	11.1	8.0	61%	24%	19%	52.2	42.8	35.9	29.1	23.3	19.6	1%	4%	8%
DAN US	Dana *	30.08	3,236	15.7	7.5	6.2	1.7	1.7	1.3	200%	110%	21%	15.3	36.6	60.8	4.9	3.1	2.3	-24%	-43%	-27%
Average				34.8	21.3	18.6	9.8	6.8	5.4	90%	72%	15%	29.2	37.5	39.5	24.4	15.9	13.9	-8%	-11%	-6%
Overall average				39.8	23.9	18.7	12.4	8.6	6.4	231%	67%	28%	38.3	41.5	42.0	25.7	17.0	13.1	-3%	-3%	0%

Source: BofA Global Research estimates, Bloomberg. Market data as of 2026/08/27 (Asia) and 08/26 (US). ROE refers to average ROE. *Non-covered companies' forecasts based on Bloomberg consensus. LC: local currency

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Exhibit 9: Jentech's PEG of 0.34 is below peers' average of 0.73

PEG comparison: Jentech vs. peers

Ticker	Company	P/E (x) 2027E	EPS CAGR 2026-28E	PEG 2027E	Sales CAGR 2026-28E	ROE 2027E
3653 TT	Jentech	35.5	104%	0.34	86%	60%
Taiwan hardware sub-sector leaders						
2059 TT	King Slide	30.8	24%	1.30	25%	64%
2308 TT	Delta	29.0	46%	0.63	37%	35%
2345 TT	Accton *	18.0	40%	0.46	34%	54%
Greater China cooling peers						
3017 TT	AVC	23.2	31%	0.76	30%	56%
3324 TT	Auras	13.8	27%	0.52	17%	39%
8996 TT	Kaori *	33.3	83%	0.40	73%	47%
2486 TT	I-Chiun *	26.8	n.a.	n.a.	n.a.	33%
2351 TT	SDI *	27.0	28%	0.95	15%	20%
Global cooling peers						
5803 JP	Fujikura	26.2	58%	0.45	27%	47%
HON US	Honeywell	20.2	20%	1.00	2%	23%
VRT US	Vertiv	31.5	22%	1.45	19%	43%
DAN US	Dana *	7.5	59%	0.13	21%	37%
Peers average		23.9	40%	0.73	27%	41%

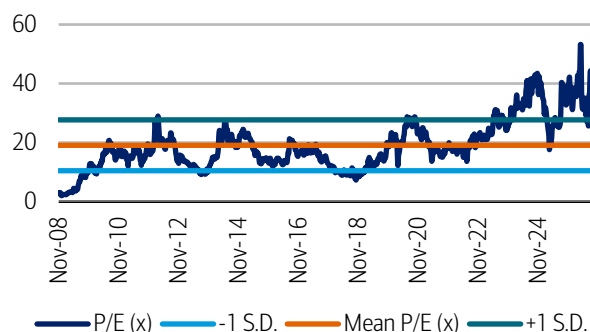
Source: BofA Global Research estimates, Bloomberg. Market data as of 2026/08/27 (Asia) and 08/26 (US). ROE refers to average ROE.

*Non-covered companies' forecasts based on Bloomberg consensus. PEG = 2027E P/E / 2026-28E EPS CAGR

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Exhibit 10: Jentech's historical P/E trading average since IPO is 19x

Jentech's P/E trend and -1/+1 standard deviation since IPO in Nov 2008

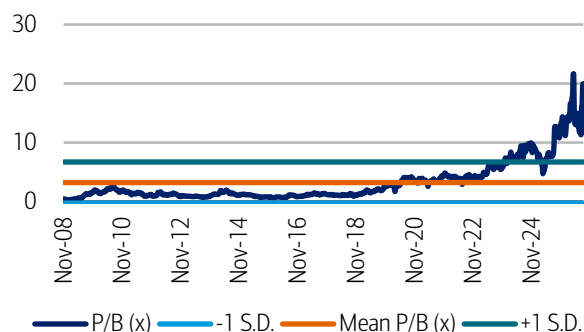


Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 11: Jentech's historical P/B trading average since IPO is 3.2x

Jentech's P/B trend and -1/+1 standard deviation since IPO in Nov 2008



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 12: We project 2026-28E sales/EPS CAGR at 86%/104%

Quarterly earnings summary, 2025-28

NT\$mnn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	5,305	7,275	9,976	10,766	10,745	13,629	19,116	22,624	23,502	25,554	31,145	35,346	20,276	33,322	66,115	115,547
Gross profit	2,217	3,405	4,754	5,173	5,151	6,665	9,581	11,449	11,878	13,002	15,969	18,231	8,434	15,549	32,846	59,081
Operating profit	1,697	2,749	4,046	4,420	4,399	5,848	8,701	10,460	10,844	11,928	14,817	17,047	6,498	12,911	29,408	54,637
Pretax profit	1,776	2,841	4,098	4,451	4,436	5,896	8,757	10,492	10,881	11,975	14,874	17,079	6,607	13,165	29,580	54,809
Net income	1,398	2,318	3,186	3,506	3,499	4,706	6,820	8,279	8,591	9,570	11,591	13,482	5,277	10,409	23,305	43,235
EPS (NT\$)	9.53	15.80	21.71	23.89	23.85	32.07	46.48	56.42	58.55	65.22	78.99	91.88	36.75	70.93	158.82	294.64
Margin %																
Gross margin	41.8%	46.8%	47.7%	48.1%	47.9%	48.9%	50.1%	50.6%	50.5%	50.9%	51.3%	51.6%	41.6%	46.7%	49.7%	51.1%
Operating margin	32.0%	37.8%	40.6%	41.1%	40.9%	42.9%	45.5%	46.2%	46.1%	46.7%	47.6%	48.2%	32.0%	38.7%	44.5%	47.3%
Pretax margin	33.5%	39.1%	41.1%	41.3%	41.3%	43.3%	45.8%	46.4%	46.3%	46.9%	47.8%	48.3%	32.6%	39.5%	44.7%	47.4%
Net margin	26.4%	31.9%	31.9%	32.6%	32.6%	34.5%	35.7%	36.6%	36.6%	37.5%	37.2%	38.1%	26.0%	31.2%	35.2%	37.4%
QoQ %																
Sales	1%	37%	37%	8%	0%	27%	40%	18%	4%	9%	22%	13%				
Gross profit	2%	54%	40%	9%	0%	29%	44%	19%	4%	9%	23%	14%				
Operating profit	3%	62%	47%	9%	0%	33%	49%	20%	4%	10%	24%	15%				
Pretax profit	-2%	60%	44%	9%	0%	33%	49%	20%	4%	10%	24%	15%				
Net income	-2%	66%	37%	10%	0%	34%	45%	21%	4%	11%	21%	16%				
YoY %																
Sales	12%	40%	97%	104%	103%	87%	92%	110%	119%	87%	63%	56%	42%	64%	98%	75%
Gross profit	4%	58%	141%	138%	132%	96%	102%	121%	131%	95%	67%	59%	57%	84%	111%	80%
Operating profit	2%	62%	173%	168%	159%	113%	115%	137%	147%	104%	70%	63%	71%	99%	128%	86%
Pretax profit	2%	114%	138%	145%	150%	108%	114%	136%	145%	103%	70%	63%	56%	99%	125%	85%
Net income	2%	107%	135%	145%	150%	103%	114%	136%	145%	103%	70%	63%	54%	97%	124%	86%

Source: BofA Global Research estimates, company data

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Exhibit 13: Acronyms

Acronyms used throughout the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	Gen	Generation	OPM	Operating Profit Margin
AMD	Advanced Micro Devices (AMD US)	GM	Gross Margin	P/B	Price to Book
ASP	Average Selling Price	GPU	Graphic Processing Unit	P/E	Price to Earnings
CAGR	Compound Annual Growth Rate	IPO	Initial Public Offering	PC	Personal Computer
CSP	Cloud Service Provider	LC	Local Currency	PO	Price Objective
Diff	Difference	MCL	Microchannel Lid	RHS	Right Hand Side
EPS	Earnings Per Share	NTD / NT\$	New Taiwan Dollars	SD	Standard Deviation
FX	Foreign Exchange	OP	Operating Profit	USD / US\$	US Dollars

Source: BofA Global Research

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Price objective basis & risk

Jentech (XVFSF)

Our PO of NT\$6,800 is based on 30x 2H27-1H28E EPS. We use 30x P/E multiple (around 1.5SD above P/E average since IPO) in view of strong AI server market demand, leading position in semi-packaging level cooling components, expanding margins, and double-digit% to triple-digit% sales/EPS CAGR in 2026-28E.

Upside risks to our PO are: (1) stronger AI server demand, (2) supply chain's faster cooling design migration, (3) faster capacity expansion, (4) favorable FX movement (mainly USD/NTD).

Downside risks to our PO are: (1) softer AI server demand, (2) GM pressure due to higher raw material cost, (3) supply chain's delayed cooling design migration, (4) slower capacity expansion, (5) unfavorable FX movement (mainly USD/NTD) to weigh on GM and/or non-operating items.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNNAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGf	992 HK	Robert Cheng
	Lenovo Group	LNVGy	LNVGy US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPFB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCf	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PWWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
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	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTVF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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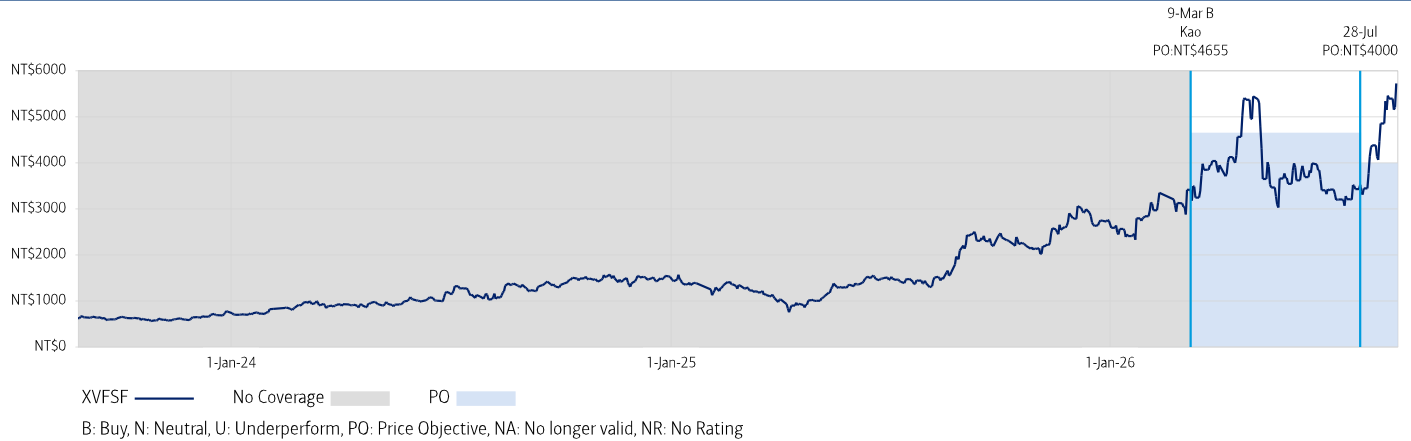
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Jentech (XVFSF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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